2024 Federal Individual Income Tax Return - Preparer Draft

Robert Smith Jr. & Lisa Marie Smith | Married Filing Jointly | San Antonio, TX 78253

Prepared for senior accountant review. Signature/e-file authorization (Form 8879) to be obtained after review.

Return summary

Total income (Form 1040, line 9)	$361,246
Adjustments to income (line 10)	$300
Adjusted gross income (line 11)	**$360,946**
Itemized deductions - Schedule A (line 12) [standard deduction would be $29,200]	$31,692
Qualified business income deduction - Form 8995 (line 13)	$43
Taxable income (line 15)	**$329,211**
Tax - Qualified Dividends & Capital Gain Tax Worksheet (line 16)	$62,280
Child tax credit - Schedule 8812 (line 19)	$6,000
Other nonrefundable credits - Schedule 3 (line 20)	$539
Other taxes - Additional Medicare Tax + NIIT, Schedule 2 (line 23)	$2,232
Total tax (line 24)	**$57,973**
Federal income tax withheld - Forms W-2 (line 25d)	$25,394
2024 estimated tax payments (line 26)	$13,685
Excess social security tax withheld - Schedule 3 (line 31)	$4,113
Total payments (line 33)	$43,192
AMOUNT YOU OWE (line 37)	**$14,781**

Forms and schedules included (IRS attachment sequence order)

Form 1040	U.S. Individual Income Tax Return	
Schedule 1	Additional Income and Adjustments to Income	Seq. 01 - educator expenses; student loan interest phased out
Schedule 2	Additional Taxes	Seq. 02 - Additional Medicare Tax and NIIT
Schedule 3	Additional Credits and Payments	Seq. 03 - FTC, dependent care credit, excess SS tax
Schedule A	Itemized Deductions	Seq. 07
Schedule B	Interest and Ordinary Dividends	Seq. 08 - ordinary dividends exceed $1,500
Schedule D	Capital Gains and Losses	Seq. 12
Form 8949	Sales and Other Dispositions of Capital Assets	Seq. 12A - Box D (wash sale adj., code W)
Form 2441	Child and Dependent Care Expenses	Seq. 21
Schedule 8812	Credits for Qualifying Children and Other Dependents	Seq. 47
Form 8995	Qualified Business Income Deduction Simplified Computation	Seq. 55 - Sec. 199A REIT dividends
Form 8867	Paid Preparer's Due Diligence Checklist	Seq. 70 - required (CTC claimed)
Form 8959	Additional Medicare Tax	Seq. 71
Form 8960	Net Investment Income Tax	Seq. 72

Not required / not attached:

Form 1116 - foreign tax credit ($211) elected directly on Schedule 3, line 1 (all passive, reported on 1099-DIV, under $600 MFJ).

Form 6251 - AMT screen: tentative minimum tax ~$50,021 < regular tax less FTC $62,069; no AMT and no filing trigger.

Form 2210 - not computed (2023 tax liability not provided). IRS may assess an underpayment penalty; see review notes.

Form 8879 (e-file signature authorization) - to be signed by taxpayers after review; retained by firm, not transmitted.

Filing Summary (not part of return)

Form **1040**

Department of the Treasury
Internal Revenue Service

U.S. Individual Income Tax Return

OMB No. 1545-0074

2024

For the year Jan. 1-Dec. 31, 2024, or other tax year beginning _____, 2024, ending _____, 20___ See separate instructions.

Your first name and middle initial	Last name	Your social security number
ROBERT	SMITH JR.	333-44-5555
If joint return, spouse's first name and middle initial	Last name	Spouse's social security number
LISA M.	SMITH	444-55-6666

Home address (number and street). If you have a P.O. box, see instructions.	Apt. no.	**Presidential Election Campaign** Check here if you, or your spouse if filing jointly, want $3 to go to this fund.
123 SMITH STREET		

City, town, or post office. If you have a foreign address, also complete spaces below.	State	ZIP code	☐ You ☐ Spouse
SAN ANTONIO	TX	78253	

Foreign country name	Foreign province/state/county	Foreign postal code

Filing Status Check only one box.
☐ Single ☒ **Married filing jointly (even if only one had income)** ☐ Married filing separately (MFS)
☐ Head of household (HOH) ☐ Qualifying surviving spouse (QSS)

Digital Assets At any time during 2024, did you: (a) receive (as a reward, award, or payment for property or services); or (b) sell, exchange, or otherwise dispose of a digital asset (or a financial interest in a digital asset)? (See instructions.) ☐ **Yes** ☒ **No**

Standard Deduction Someone can claim: ☐ You as a dependent ☐ Your spouse as a dependent
☐ Spouse itemizes on a separate return or you were a dual-status alien

Age/Blindness **You:** ☐ Were born before January 2, 1960 ☐ Are blind **Spouse:** ☐ Was born before January 2, 1960 ☐ Is blind

Dependents (see instructions) If more than four dependents, see instructions and ☐ check here

(1) First name Last name	(2) Social security number	(3) Relationship to you	(4) Check if qualifies for: Child tax credit	(4) Check if qualifies for: Credit for other dependents
ROBERT SMITH III	111-22-7777	SON	☒	☐
MELISSA SMITH	222-33-7777	DAUGHTER	☒	☐
JUDITH SMITH	777-88-9999	DAUGHTER	☒	☐
			☐	☐

Income (Attach Form(s) W-2 here. Also attach Forms W-2G and 1099-R if tax was withheld.)

1a	Total amount from Form(s) W-2, box 1 (see instructions)					1a	327,003
b	Household employee wages not reported on Form(s) W-2					1b	
c	Tip income not reported on line 1a (see instructions)					1c	
d	Medicaid waiver payments not reported on Form(s) W-2 (see instructions)					1d	
e	Taxable dependent care benefits from Form 2441, line 26					1e	
f	Employer-provided adoption benefits from Form 8839, line 29					1f	
g	Wages from Form 8919, line 6					1g	
h	Other earned income (see instructions)					1h	
i	Nontaxable combat pay election (see instructions)	1i					
z	Add lines 1a through 1h					1z	327,003
2a	Tax-exempt interest	2a		b	Taxable interest	2b	1,116
3a	Qualified dividends	3a	4,898	b	Ordinary dividends	3b	6,744
4a	IRA distributions	4a		b	Taxable amount	4b	
5a	Pensions and annuities	5a		b	Taxable amount	5b	
6a	Social security benefits	6a		b	Taxable amount	6b	
c	If you elect to use the lump-sum election method, check here (see instructions) ☐						
7	Capital gain or (loss). Attach Schedule D if required. If not required, check here ☐					7	26,383
8	Additional income from Schedule 1, line 10					8	0
9	**Add lines 1z, 2b, 3b, 4b, 5b, 6b, 7, and 8. This is your total income**					9	361,246
10	Adjustments to income from Schedule 1, line 26					10	300
11	**Subtract line 10 from line 9. This is your adjusted gross income**					11	360,946
12	Standard deduction or itemized deductions (from Schedule A)					12	31,692
13	Qualified business income deduction from Form 8995 or Form 8995-A					13	43
14	Add lines 12 and 13					14	31,735
15	**Subtract line 14 from line 11. If zero or less, enter -0-. This is your taxable income**					15	329,211

For Disclosure, Privacy Act, and Paperwork Reduction Act Notice, see separate instructions.

PREPARER DRAFT FOR SENIOR REVIEW - NOT FOR FILING. Amounts rounded to whole dollars. Prepared from client-provided 2024 documents.

Tax and Credits

16	Tax (see instructions). Check if any from Form(s): 1 [ ] 8814 2 [ ] 4972 3 [ ] _____	16	62,280
17	Amount from Schedule 2, line 3	17	0
18	Add lines 16 and 17	18	62,280
19	Child tax credit or credit for other dependents from Schedule 8812	19	6,000
20	Amount from Schedule 3, line 8	20	539
21	Add lines 19 and 20	21	6,539
22	Subtract line 21 from line 18. If zero or less, enter -0-	22	55,741
23	Other taxes, including self-employment tax, from Schedule 2, line 21	23	2,232
24	**Add lines 22 and 23. This is your total tax**	24	57,973

Payments

25	Federal income tax withheld from:				
a	Form(s) W-2	25a	25,394		
b	Form(s) 1099	25b			
c	Other forms (see instructions) [Form 8959, line 24]	25c	0		
d	Add lines 25a through 25c			25d	25,394
26	2024 estimated tax payments and amount applied from 2023 return			26	13,685
27	Earned income credit (EIC)	27			
28	Additional child tax credit from Schedule 8812	28			
29	American opportunity credit from Form 8863, line 8	29			
30	Reserved for future use	30			
31	Amount from Schedule 3, line 15	31	4,113		
32	Add lines 27, 28, 29, and 31. These are your total other payments and refundable credits			32	4,113
33	**Add lines 25d, 26, and 32. These are your total payments**			33	43,192

Refund

34	If line 33 is more than line 24, subtract line 24 from line 33. This is the amount you overpaid	34	
35a	Amount of line 34 you want refunded to you. If Form 8888 is attached, check here [ ]	35a	
b	Routing number _____ c Type: [ ] Checking [ ] Savings		
d	Account number _____		
36	Amount of line 34 you want applied to your 2025 estimated tax	36	

Amount You Owe

37	**Subtract line 33 from line 24. This is the amount you owe. For details on how to pay, go to www.irs.gov/Payments or see instructions**	37	14,781
38	Estimated tax penalty (see instructions) [not computed - see review notes]	38	

Third Party Designee

Do you want to allow another person to discuss this return with the IRS? See instructions ☐ Yes. Complete below. ☒ No

Designee's name _____ Phone no. _____ Personal identification number (PIN) _____

Sign Here

Under penalties of perjury, I declare that I have examined this return and accompanying schedules and statements, and to the best of my knowledge and belief, they are true, correct, and complete. Declaration of preparer (other than taxpayer) is based on all information of which preparer has any knowledge.

Your signature	Date	Your occupation	If the IRS sent you an IP PIN, enter it here
		SALESMAN	
Spouse's signature. If a joint return, both must sign.	**Date**	**Spouse's occupation**	**If the IRS sent your spouse an IP PIN, enter it here**
		TEACHER	

Phone no. 222-867-5309 Email address BOBSMITH@SMITH.COM

Paid Preparer Use Only

Preparer's name	Preparer's signature	Date	PTIN	Check if: [ ] Self-employed
[PREPARER NAME]			P_____	
Firm's name [ACCOUNTING FIRM NAME]			Phone no.	
Firm's address [FIRM ADDRESS]			Firm's EIN	

Go to www.irs.gov/Form1040 for instructions and the latest information.

PREPARER DRAFT FOR SENIOR REVIEW - NOT FOR FILING. Amounts rounded to whole dollars. Prepared from client-provided 2024 documents.

SCHEDULE 1

(Form 1040)

Department of the Treasury
Internal Revenue Service

Additional Income and Adjustments to Income

Attach to Form 1040, 1040-SR, or 1040-NR.
Go to www.irs.gov/Form1040 for instructions and the latest information.

OMB No. 1545-0074

2024

Attachment
Sequence No. 01

Name(s) shown on return: **ROBERT SMITH JR. & LISA M. SMITH**

Your social security number: **333-44-5555**

Part I Additional Income

1	Taxable refunds, credits, or offsets of state and local income taxes			1	
2a	Alimony received			2a	
b	Date of original divorce or separation agreement (see instructions)				
3	Business income or (loss). Attach Schedule C			3	
4	Other gains or (losses). Attach Form 4797			4	
5	Rental real estate, royalties, partnerships, S corporations, trusts, etc. Attach Schedule E			5	
6	Farm income or (loss). Attach Schedule F			6	
7	Unemployment compensation			7	
8	Other income:				
a	Net operating loss	8a			
b	Gambling	8b			
c	Cancellation of debt	8c			
d	Foreign earned income exclusion from Form 2555	8d			
e	Income from Form 8853	8e			
f	Income from Form 8889	8f			
g	Alaska Permanent Fund dividends	8g			
h	Jury duty pay	8h			
i	Prizes and awards	8i			
j	Activity not engaged in for profit income	8j			
k	Stock options	8k			
l	Income from the rental of personal property if you engaged in the rental for profit but were not in the business of renting such property	8l			
m	Olympic and Paralympic medals and USOC prize money (see instructions)	8m			
n	Section 951(a) inclusion (see instructions)	8n			
o	Section 951A(a) inclusion (see instructions)	8o			
p	Section 461(l) excess business loss adjustment	8p			
q	Taxable distributions from an ABLE account (see instructions)	8q			
r	Scholarship and fellowship grants not reported on Form W-2	8r			
s	Nontaxable amount of Medicaid waiver payments included on Form 1040, line 1a or 1d	8s			
t	Pension or annuity from a nonqualifed deferred compensation plan or a nongovernmental section 457 plan	8t			
u	Wages earned while incarcerated	8u			
v	Digital assets received as ordinary income not reported elsewhere (see instructions)	8v			
z	Other income. List type and amount: _____	8z			
9	Total other income. Add lines 8a through 8z			9	
10	Combine lines 1 through 7 and 9. This is your additional income. Enter here and on Form 1040, 1040-SR, or 1040-NR, line 8			10	**0**

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Part II Adjustments to Income

11	Educator expenses (Lisa M. Smith - K-12 teacher; $730 paid, limited to $300)	11	300
12	Certain business expenses of reservists, performing artists, and fee-basis government officials. Attach Form 2106	12	
13	Health savings account deduction. Attach Form 8889	13	
14	Moving expenses for members of the Armed Forces. Attach Form 3903	14	
15	Deductible part of self-employment tax. Attach Schedule SE	15	
16	Self-employed SEP, SIMPLE, and qualified plans	16	
17	Self-employed health insurance deduction	17	
18	Penalty on early withdrawal of savings	18	
19a	Alimony paid	19a	
b	Recipient's SSN _____		
c	Date of original divorce or separation agreement (see instructions) _____		
20	IRA deduction	20	
21	Student loan interest deduction ($4,312 paid per Form 1098-E; fully phased out - MAGI $360,946 exceeds $195,000)	21	0
22	Reserved for future use	22	
23	Archer MSA deduction	23	
24	Other adjustments:		
a	Jury duty pay (see instructions)	24a	
b	Deductible expenses related to income reported on line 8l from the rental of personal property engaged in for profit	24b	
c	Nontaxable amount of the value of Olympic and Paralympic medals and USOC prize money reported on line 8m	24c	
d	Reforestation amortization and expenses	24d	
e	Repayment of supplemental unemployment benefits under the Trade Act of 1974	24e	
f	Contributions to section 501(c)(18)(D) pension plans	24f	
g	Contributions by certain chaplains to section 403(b) plans	24g	
h	Attorney fees and court costs for actions involving certain unlawful discrimination claims (see instructions)	24h	
i	Attorney fees and court costs you paid in connection with an award from the IRS for information you provided that helped the IRS detect tax law violations	24i	
j	Housing deduction from Form 2555	24j	
k	Excess deductions of section 67(e) expenses from Schedule K-1 (Form 1041)	24k	
z	Other adjustments. List type and amount: _____	24z	
25	Total other adjustments. Add lines 24a through 24z	25	
26	**Add lines 11 through 23 and 25. These are your adjustments to income. Enter here and on Form 1040, 1040-SR, or 1040-NR, line 10**	26	300

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SCHEDULE 2

(Form 1040)

Department of the Treasury
Internal Revenue Service

Additional Taxes

Attach to Form 1040, 1040-SR, or 1040-NR.
Go to www.irs.gov/Form1040 for instructions and the latest information.

OMB No. 1545-0074

2024

Attachment
Sequence No. 02

Name(s) shown on return: **ROBERT SMITH JR. & LISA M. SMITH**

Your social security number: **333-44-5555**

Part I Tax

1	Additions to tax:				
a	Excess advance premium tax credit repayment. Attach Form 8962	1a			
b	Repayment of new clean vehicle credit(s) transferred to a registered dealer from Schedule A (Form 8936), Part II	1b			
c	Repayment of previously owned clean vehicle credit(s) transferred to a registered dealer from Schedule A (Form 8936), Part IV	1c			
d	Recapture of net EPE from Form 4255, line 2a, column (l)	1d			
e	Excessive payments (EP) from Form 4255	1e			
f	20% EP from Form 4255	1f			
y	Other additions to tax (see instructions)	1y			
z	Add lines 1a through 1y			1z	
2	Alternative minimum tax. Attach Form 6251			2	0
3	Add lines 1z and 2. Enter here and on Form 1040, 1040-SR, or 1040-NR, line 17			3	0

Part II Other Taxes

4	Self-employment tax. Attach Schedule SE			4	
5	Social security and Medicare tax on unreported tip income. Attach Form 4137	5			
6	Uncollected social security and Medicare tax on wages. Attach Form 8919	6			
7	Total additional social security and Medicare tax. Add lines 5 and 6			7	
8	Additional tax on IRAs or other tax-favored accounts. Attach Form 5329 if required. If not required, check here [ ]			8	
9	Household employment taxes. Attach Schedule H			9	
10	Repayment of first-time homebuyer credit. Attach Form 5405 if required			10	
11	Additional Medicare Tax. Attach Form 8959			11	931
12	Net investment income tax. Attach Form 8960			12	1,301
13	Uncollected social security and Medicare or RRTA tax on tips or group-term life insurance from Form W-2, box 12			13	
14	Interest on tax due on installment income from the sale of certain residential lots and timeshares			14	
15	Interest on the deferred tax on gain from certain installment sales with a sales price over $150,000			15	
16	Recapture of low-income housing credit. Attach Form 8611			16	

(continued on page 2)

PREPARER DRAFT FOR SENIOR REVIEW - NOT FOR FILING. Amounts rounded to whole dollars. Prepared from client-provided 2024 documents.

Part II Other Taxes (continued)

17	Other additional taxes:				
a	Recapture of other credits. List type, form number, and amount	**17a**			
b	Recapture of federal mortgage subsidy, if you sold your home see instructions	**17b**			
c	Additional tax on HSA distributions. Attach Form 8889	**17c**			
d	Additional tax on an HSA because you didn't remain an eligible individual. Attach Form 8889	**17d**			
e	Additional tax on Archer MSA distributions. Attach Form 8853	**17e**			
f	Additional tax on Medicare Advantage MSA distributions. Attach Form 8853	**17f**			
g	Recapture of a charitable contribution deduction related to a fractional interest in tangible personal property	**17g**			
h	Income you received from a nonqualified deferred compensation plan that fails to meet the requirements of section 409A	**17h**			
i	Compensation you received from a nonqualified deferred compensation plan described in section 457A	**17i**			
j	Section 72(m)(5) excess benefits tax	**17j**			
k	Golden parachute payments	**17k**			
l	Tax on accumulation distribution of trusts	**17l**			
m	Excise tax on insider stock compensation from an expatriated corporation	**17m**			
n	Look-back interest under section 167(g) or 460(b) from Form 8697 or 8866	**17n**			
o	Tax on non-effectively connected income for any part of the year you were a nonresident alien from Form 1040-NR	**17o**			
p	Any interest from Form 8621, line 16f, relating to distributions from, and dispositions of, stock of a section 1291 fund	**17p**			
q	Any interest from Form 8621, line 24	**17q**			
z	Any other taxes. List type and amount: _____	**17z**			
18	Total additional taxes. Add lines 17a through 17z			**18**	
19	Recapture of net EPE from Form 4255, line 1d, column (l)			**19**	
20	Section 965 net tax liability installment from Form 965-A	**20**			
21	**Add lines 4, 7 through 16, 18, and 19. These are your total other taxes. Enter here and on Form 1040 or 1040-SR, line 23, or Form 1040-NR, line 23b**			**21**	**2,232**

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SCHEDULE 3

(Form 1040)

Department of the Treasury
Internal Revenue Service

Additional Credits and Payments

Attach to Form 1040, 1040-SR, or 1040-NR.
Go to www.irs.gov/Form1040 for instructions and the latest information.

OMB No. 1545-0074

2024

Attachment
Sequence No. 03

Name(s) shown on return: **ROBERT SMITH JR. & LISA M. SMITH**

Your social security number: **333-44-5555**

Part I Nonrefundable Credits

1	Foreign tax credit. Attach Form 1116 if required (Form 1116 not required - election under Sec. 904(j): $211 foreign tax on 1099-DIV, passive, under $600 MFJ)		1	211
2	Credit for child and dependent care expenses from Form 2441, line 11. Attach Form 2441		2	328
3	Education credits from Form 8863, line 19		3	
4	Retirement savings contributions credit. Attach Form 8880		4	
5a	Residential clean energy credit from Form 5695, line 15		5a	
b	Energy efficient home improvement credit from Form 5695, line 32		5b	
6	Other nonrefundable credits:			
a	General business credit. Attach Form 3800	6a		
b	Credit for prior year minimum tax. Attach Form 8801	6b		
c	Adoption credit. Attach Form 8839	6c		
d	Credit for the elderly or disabled. Attach Schedule R	6d		
e	Reserved for future use	6e		
f	Clean vehicle credit. Attach Form 8936	6f		
g	Mortgage interest credit. Attach Form 8396	6g		
h	District of Columbia first-time homebuyer credit. Attach Form 8859	6h		
i	Qualified electric vehicle credit. Attach Form 8834	6i		
j	Alternative fuel vehicle refueling property credit. Attach Form 8911	6j		
k	Credit to holders of tax credit bonds. Attach Form 8912	6k		
l	Amount on Form 8978, line 14. See instructions	6l		
m	Credit for previously owned clean vehicles. Attach Form 8936	6m		
z	Other nonrefundable credits. List type and amount: _____	6z		
7	Total other nonrefundable credits. Add lines 6a through 6z		7	
8	**Add lines 1 through 4, 5a, 5b, and 7. Enter here and on Form 1040, 1040-SR, or 1040-NR, line 20**		8	539

Part II Other Payments and Refundable Credits

9	Net premium tax credit. Attach Form 8962		9	
10	Amount paid with request for extension to file (see instructions)		10	
11	Excess social security and tier 1 RRTA tax withheld (Robert: $8,212.83 + $6,353.06 = $14,565.89 less 2024 max $10,453.20)		11	4,113
12	Credit for federal tax on fuels. Attach Form 4136		12	
13	Other payments or refundable credits:			
a	Form 2439	13a		
b	Credit for repayment of amounts included in income from earlier years	13b		
c	Elective payment election amount from Form 3800, Part III, line 6, column (i)	13c		
d	Deferred amount of net 965 tax liability (see instructions)	13d		
z	Other payments or refundable credits. List type and amount: _____	13z		
14	Total other payments or refundable credits. Add lines 13a through 13z		14	
15	**Add lines 9 through 12 and 14. Enter here and on Form 1040, 1040-SR, or 1040-NR, line 31**		15	4,113

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SCHEDULE A

(Form 1040)

Department of the Treasury
Internal Revenue Service

Itemized Deductions

Go to www.irs.gov/ScheduleA for instructions and the latest information.
Attach to Form 1040 or 1040-SR.
Caution: If you are claiming a net qualified disaster loss on Form 4684, see the instructions for line 16.

OMB No. 1545-0074

2024

Attachment
Sequence No. 07

Name(s) shown on return: **ROBERT SMITH JR. & LISA M. SMITH**

Your social security number: **333-44-5555**

Medical and Dental Expenses

1	Medical and dental expenses (see instructions) [qualified LTC premiums, age-limited: $880 + $880]	1	1,760	
2	Enter amount from Form 1040 or 1040-SR, line 11	2	360,946	
3	Multiply line 2 by 7.5% (0.075)	3	27,071	
4	Subtract line 3 from line 1. If line 3 is more than line 1, enter -0-			4 0

Taxes You Paid

5	State and local taxes.			
a	State and local income taxes or general sales taxes. You may include either income taxes or general sales taxes on line 5a, but not both. If you elect to include general sales taxes instead of income taxes, check this box [X]	5a	2,965	
b	State and local real estate taxes (see instructions) [Form 1098, box 10]	5b	6,748	
c	State and local personal property taxes	5c		
d	Add lines 5a through 5c	5d	9,713	
e	Enter the smaller of line 5d or $10,000 ($5,000 if married filing separately)	5e	9,713	
6	Other taxes. List type and amount: _____	6		
7	Add lines 5e and 6			7 9,713

Interest You Paid

8	Home mortgage interest and points. If you didn't use all of your home mortgage loan(s) to buy, build, or improve your home, see instructions and check this box [ ]			
a	Home mortgage interest and points reported to you on Form 1098. See instructions if limited [TX Lending Company; principal $565,774 < $750,000]	8a	17,679	
b	Home mortgage interest not reported to you on Form 1098. See instructions if limited. If paid to the person from whom you bought the home, see instructions and show that person's name, identifying no., and address	8b		
c	Points not reported to you on Form 1098. See instructions for special rules	8c		
d	Reserved for future use	8d		
e	Add lines 8a through 8c	8e	17,679	
9	Investment interest. Attach Form 4952 if required. See instructions	9		
10	Add lines 8e and 9			10 17,679

Gifts to Charity

11	Gifts by cash or check. If you made any gift of $250 or more, see instructions [American Red Cross $2,500; church $150 x 12 = $1,800]	11	4,300	
12	Other than by cash or check. If you made any gift of $250 or more, see instructions. You must attach Form 8283 if over $500	12		
13	Carryover from prior year	13		
14	Add lines 11 through 13			14 4,300

Casualty and Theft Losses

15	Casualty and theft loss(es) from a federally declared disaster (other than net qualified disaster losses). Attach Form 4684 and enter the amount from line 18 of that form. See instructions	15	

Other Itemized Deductions

16	Other - from list in instructions. List type and amount: _____	16	

Total Itemized Deductions

17	**Add the amounts in the far right column for lines 4 through 16. Also, enter this amount on Form 1040 or 1040-SR, line 12**	17	31,692
18	If you elect to itemize deductions even though they are less than your standard deduction, check this box [ ]		

PREPARER DRAFT FOR SENIOR REVIEW - NOT FOR FILING. Amounts rounded to whole dollars. Prepared from client-provided 2024 documents.

SCHEDULE B

(Form 1040)

Department of the Treasury
Internal Revenue Service

Interest and Ordinary Dividends

Go to www.irs.gov/ScheduleB for instructions and the latest information.
Attach to Form 1040 or 1040-SR.

OMB No. 1545-0074

2024

Attachment
Sequence No. 08

Name(s) shown on return: **ROBERT SMITH JR. & LISA M. SMITH**

Your social security number: **333-44-5555**

Part I Interest (See instructions and the Instructions for Form 1040, line 2b.)

1	List name of payer. If any interest is from a seller-financed mortgage and the buyer used the property as a personal residence, see the instructions and list this interest first. Also, show that buyer's social security number and address:		
	TX LENDING COMPANY (Robert)	1	108
	YELLOW ROSE BANK (Robert)	1	40
	YELLOW ROSE BANK (Lisa)	1	968
		1	
		1	
		1	
2	Add the amounts on line 1	2	1,116
3	Excludable interest on series EE and I U.S. savings bonds issued after 1989. Attach Form 8815	3	
4	**Subtract line 3 from line 2. Enter the result here and on Form 1040 or 1040-SR, line 2b**	4	1,116

Note: If line 4 is over $1,500, you must complete Part III.

Part II Ordinary Dividends (See instructions and the Instructions for Form 1040, line 3b.)

5	List name of payer:		
	YELLOW ROSE BANK (Lisa) (1099-DIV box 1a)	5	6,744
		5	
		5	
		5	
6	**Add the amounts on line 5. Enter the total here and on Form 1040 or 1040-SR, line 3b**	6	6,744

Note: If line 6 is over $1,500, you must complete Part III.

Part III Foreign Accounts and Trusts (Caution: If required, failure to file FinCEN Form 114 may result in substantial penalties.)

7a	At any time during 2024, did you have a financial interest in or signature authority over a financial account (such as a bank account, securities account, or brokerage account) located in a foreign country? See instructions	☐ Yes	☒ No
	If "Yes," are you required to file FinCEN Form 114, Report of Foreign Bank and Financial Accounts (FBAR), to report that financial interest or signature authority? See FinCEN Form 114 and its instructions for filing requirements and exceptions to those requirements		
b	If you are required to file FinCEN Form 114, list the name(s) of the foreign country(-ies) where the financial account(s) are located: _____		
8	During 2024, did you receive a distribution from, or were you the grantor of, or transferor to, a foreign trust? If "Yes," you may have to file Form 3520. See instructions	☐ Yes	☒ No

PREPARER DRAFT FOR SENIOR REVIEW - NOT FOR FILING. Amounts rounded to whole dollars. Prepared from client-provided 2024 documents.

SCHEDULE D

(Form 1040)

Department of the Treasury
Internal Revenue Service

Capital Gains and Losses

Attach to Form 1040, 1040-SR, or 1040-NR.
Go to www.irs.gov/ScheduleD for instructions and the latest information.
Use Form 8949 to list your transactions for lines 1b, 2, 3, 8b, 9, and 10.

OMB No. 1545-0074

2024

Attachment
Sequence No. 12

Name(s) shown on return: **ROBERT SMITH JR. & LISA M. SMITH**

Your social security number: **333-44-5555**

Did you dispose of any investment(s) in a qualified opportunity fund during the tax year? ☐ Yes ☒ No

If "Yes," attach Form 8949 and see its instructions for additional requirements for reporting your gain or loss.

Part I Short-Term Capital Gains and Losses-Generally Assets Held One Year or Less (see instructions)

See instructions for how to figure the amounts to enter on the lines below. This form may be easier to complete if you round off cents to whole dollars.	(d) Proceeds (sales price)	(e) Cost (or other basis)	(g) Adjustments to gain or loss from Form(s) 8949, Part I, line 2, column (g)	(h) Gain or (loss). Subtract column (e) from column (d) and combine the result with column (g)
1a Totals for all short-term transactions reported on Form 1099-B for which basis was reported to the IRS and for which you have no adjustments (see instructions). However, if you choose to report all these transactions on Form 8949, leave this line blank and go to line 1b	57	6,751		(6,694)
1b Totals for all transactions reported on Form(s) 8949 with Box A checked				
2 Totals for all transactions reported on Form(s) 8949 with Box B checked				
3 Totals for all transactions reported on Form(s) 8949 with Box C checked				

4	Short-term gain from Form 6252 and short-term gain or (loss) from Forms 4684, 6781, and 8824	4	
5	Net short-term gain or (loss) from partnerships, S corporations, estates, and trusts from Schedule(s) K-1	5	
6	Short-term capital loss carryover. Enter the amount, if any, from line 8 of your Capital Loss Carryover Worksheet in the instructions	6	
7	**Net short-term capital gain or (loss). Combine lines 1a through 6 in column (h). If you have any long-term capital gains or losses, go to Part II below. Otherwise, go to Part III on the back**	7	(6,694)

Part II Long-Term Capital Gains and Losses-Generally Assets Held More Than One Year (see instructions)

See instructions for how to figure the amounts to enter on the lines below. This form may be easier to complete if you round off cents to whole dollars.	(d) Proceeds (sales price)	(e) Cost (or other basis)	(g) Adjustments to gain or loss from Form(s) 8949, Part II, line 2, column (g)	(h) Gain or (loss). Subtract column (e) from column (d) and combine the result with column (g)
8a Totals for all long-term transactions reported on Form 1099-B for which basis was reported to the IRS and for which you have no adjustments (see instructions). However, if you choose to report all these transactions on Form 8949, leave this line blank and go to line 8b				
8b Totals for all transactions reported on Form(s) 8949 with Box D checked	43,877	11,268	468	33,077
9 Totals for all transactions reported on Form(s) 8949 with Box E checked				
10 Totals for all transactions reported on Form(s) 8949 with Box F checked				

11	Gain from Form 4797, Part I; long-term gain from Forms 2439 and 6252; and long-term gain or (loss) from Forms 4684, 6781, and 8824	11	
12	Net long-term gain or (loss) from partnerships, S corporations, estates, and trusts from Schedule(s) K-1	12	
13	Capital gain distributions. See the instructions	13	
14	Long-term capital loss carryover. Enter the amount, if any, from line 13 of your Capital Loss Carryover Worksheet in the instructions	14	
15	**Net long-term capital gain or (loss). Combine lines 8a through 14 in column (h). Then, go to Part III on the back**	15	33,077

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Part III Summary

16	Combine lines 7 and 15 and enter the result If line 16 is a gain, enter the amount from line 16 on Form 1040, 1040-SR, or 1040-NR, line 7. Then, go to line 17 below. [Entered: $26,383]	**16**	**26,383**
17	Are lines 15 and 16 both gains? Yes. Go to line 18.		☒ **Yes** ☐ **No**
18	If you are required to complete the 28% Rate Gain Worksheet (see instructions), enter the amount, if any, from line 7 of that worksheet	**18**	**0**
19	If you are required to complete the Unrecaptured Section 1250 Gain Worksheet (see instructions), enter the amount, if any, from line 18 of that worksheet	**19**	**0**
20	Are lines 18 and 19 both zero or blank and you are not filing Form 4952? Yes. Complete the Qualified Dividends and Capital Gain Tax Worksheet in the instructions for Form 1040, line 16. Don't complete lines 21 and 22 below.		☒ **Yes** ☐ **No**
21	If line 16 is a loss, enter here and on Form 1040, 1040-SR, or 1040-NR, line 7, the smaller of: the loss on line 16; or ($3,000), or if married filing separately, ($1,500) Note: When figuring which amount is smaller, treat both amounts as positive numbers.	**21**	
22	Do you have qualified dividends on Form 1040, 1040-SR, or 1040-NR, line 3a? (Not applicable - line 21 not completed.)		

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Form **8949**
Department of the Treasury
Internal Revenue Service

Sales and Other Dispositions of Capital Assets

Go to www.irs.gov/Form8949 for instructions and the latest information.
File with your Schedule D to list your transactions for lines 1b, 2, 3, 8b, 9, and 10 of Schedule D.

OMB No. 1545-0074
2024
Attachment
Sequence No. 12A

Name(s) shown on return: **ROBERT SMITH JR. & LISA M. SMITH**

Social security number or taxpayer identification no.: **333-44-5555**

Before you check Box D, E, or F below, see whether you received any Form(s) 1099-B or substitute statement(s) from your broker. A substitute statement will have the same information as Form 1099-B. Either will show whether your basis (usually your cost) was reported to the IRS by your broker and may even tell you which box to check.

Part II **Long-Term.** Transactions involving capital assets you held more than 1 year are generally long-term (see instructions). For short-term transactions, see page 1.

Note: You may aggregate all long-term transactions reported on Form(s) 1099-B showing basis was reported to the IRS and for which no adjustments or codes are required. Enter the totals directly on Schedule D, line 8a; you aren't required to report these transactions on Form 8949 (see instructions).

You must check Box D, E, or F below. Check only one box. If more than one box applies for your long-term transactions, complete a separate Form 8949, page 2, for each applicable box. If you have more long-term transactions than will fit on this page for one or more of the boxes, complete as many forms with the same box checked as you need.

- [X] (D) Long-term transactions reported on Form(s) 1099-B showing basis was reported to the IRS (see Note above)
- [ ] (E) Long-term transactions reported on Form(s) 1099-B showing basis wasn't reported to the IRS
- [ ] (F) Long-term transactions not reported to you on Form 1099-B

1 (a) Description of property (Example: 100 sh. XYZ Co.)	(b) Date acquired (Mo., day, yr.)	(c) Date sold or disposed of (Mo., day, yr.)	(d) Proceeds (sales price) (see instructions)	(e) Cost or other basis. See the Note below and see Column (e)	(f) Code(s) from instructions	(g) Amount of adjustment	(h) Gain or (loss). Subtract column (e) from column (d) and combine the result with column (g)
18 SH. BLU-FOR CORP	04/08/2019	08/25/2024	43,877	11,268	W	468	33,077
2 Totals. Add the amounts in columns (d), (e), (g), and (h) (subtract negative amounts). Enter each total here and include on your Schedule D, line 8b (if Box D above is checked), line 9 (if Box E above is checked), or line 10 (if Box F above is checked)			43,877	11,268		468	33,077

Note: If you checked Box D above but the basis reported to the IRS was incorrect, enter in column (e) the basis as reported to the IRS, and enter an adjustment in column (g) to correct the basis. See Column (g) in the separate instructions for how to figure the amount of the adjustment.

Preparer note: Form 1099-B (Retro Investing Company) box 1g reports wash sale loss disallowed of $468.41; reported per instructions with code W and a positive column (g) adjustment. Robert Smith's short-term sale (L&R Investment Advisors, basis reported, no adjustments) is reported directly on Schedule D, line 1a.

PREPARER DRAFT FOR SENIOR REVIEW - NOT FOR FILING. Amounts rounded to whole dollars. Prepared from client-provided 2024 documents.

Form **2441**
Department of the Treasury
Internal Revenue Service

Child and Dependent Care Expenses

Attach to Form 1040, 1040-SR, or 1040-NR.
Go to www.irs.gov/Form2441 for instructions and the latest information.

OMB No. 1545-0074
2024
Attachment Sequence No. 21

Name(s) shown on return: **ROBERT SMITH JR. & LISA M. SMITH**

Your social security number: **333-44-5555**

A You can't claim a credit for child and dependent care expenses if your filing status is married filing separately unless you meet the requirements listed in the instructions under Married Persons Filing Separately. If you meet these requirements, check this box [ ]

B If you or your spouse was a student or was disabled during 2024 and you're entering deemed income of $250 or $500 a month on Form 2441 based on the information in the instructions for line 4 or 5, check this box [ ]

Part I Persons or Organizations Who Provided the Care

-You must complete this part. If you have more than three care providers, see the instructions and check this box [ ]

1 (a) Care provider's name	(b) Address (number, street, apt. no., city, state, and ZIP code)	(c) Identifying number (SSN or EIN)	(d) Was the care provider your household employee in 2024? (Yes/No)	(e) Amount paid (see instructions)
CHILDREN FIRST CHILD CARE	777 CHILDCARE WAY	45-4564564	NO	2,240
CENTER OF TEXAS	DALLAS, TX 75211			

Caution: If the care provider is your household employee, you may owe employment taxes. For details, see the Instructions for Schedule H (Form 1040). If you incurred care expenses in 2024 but didn't pay them until 2025, or if you prepaid in 2024 for care to be provided in 2025, don't include these expenses in column (d) of line 2 for 2024. See the instructions.

Did you receive dependent care benefits? [X] No - Complete only Part II below. [ ] Yes - Complete Part III on page 2 next.

Part II Credit for Child and Dependent Care Expenses

2 Information about your qualifying person(s). If you have more than three qualifying persons, see the instructions and check this box [ ]

(a) Qualifying person's name First / Last	(b) Qualifying person's social security number	(c) Check here if the qualifying person was over age 12 and was disabled	(d) Qualified expenses you incurred and paid in 2024 for the person listed in column (a)
ROBERT SMITH III	111-22-7777	☐	820
MELISSA SMITH	222-33-7777	☐	820
		☐	

Note: Judith Smith (DOB 06/09/2010) was age 14 at year-end and not disabled; her $600 of child care is not a qualified expense.

3	Add the amounts in column (d) of line 2. Don't enter more than $3,000 if you had one qualifying person or $6,000 if you had two or more persons. If you completed Part III, enter the amount from line 31		**3**	1,640
4	Enter your earned income. See instructions (Robert Smith Jr. - Forms W-2)	**4** 234,934		
5	If married filing jointly, enter your spouse's earned income (if you or your spouse was a student or was disabled, see the instructions); all others, enter the amount from line 4 (Lisa M. Smith)	**5** 92,069		
6	Enter the smallest of line 3, 4, or 5		**6**	1,640
7	Enter the amount from Form 1040, 1040-SR, or 1040-NR, line 11	**7** 360,946		
8	Enter on line 8 the decimal amount shown below that applies to the amount on line 7 (AGI over $43,000 = .20)	**8** X .20		
9a	Multiply line 6 by the decimal amount on line 8		**9a**	328
b	If you paid 2023 expenses in 2024, complete Worksheet A in the instructions. Enter the amount from line 13 of the worksheet here. Otherwise, go to line 9c		**9b**	
c	Add lines 9a and 9b and enter the result		**9c**	328
10	Tax liability limit. Enter the amount from the Credit Limit Worksheet in the instructions (Form 1040 line 18 $62,280 less Schedule 3 line 1 $211)	**10** 62,069		
11	**Credit for child and dependent care expenses. Enter the smaller of line 9c or line 10 here and on Schedule 3 (Form 1040), line 2**		**11**	328

Part III (Dependent Care Benefits), page 2, is not required - no dependent care benefits were received (Form W-2, box 10 blank on all Forms W-2).

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SCHEDULE 8812

(Form 1040)

Department of the Treasury
Internal Revenue Service

Credits for Qualifying Children and Other Dependents

Attach to Form 1040, 1040-SR, or 1040-NR.
Go to www.irs.gov/Schedule8812 for instructions and the latest information.

OMB No. 1545-0074

2024

Attachment Sequence No. 47

Name(s) shown on return: **ROBERT SMITH JR. & LISA M. SMITH**

Your social security number: **333-44-5555**

Part I Child Tax Credit and Credit for Other Dependents

1	Enter the amount from line 11 of your Form 1040, 1040-SR, or 1040-NR			1	360,946
2a	Enter income from Puerto Rico that you excluded	2a			
b	Enter the amounts from lines 45 and 50 of your Form 2555	2b			
c	Enter the amount from line 15 of your Form 4563	2c			
d	Add lines 2a through 2c			2d	
3	Add lines 1 and 2d			3	360,946
4	Number of qualifying children under age 17 with the required social security number	4	3		
5	Multiply line 4 by $2,000			5	6,000
6	Number of other dependents, including any qualifying children who are not under age 17 or who do not have the required social security number	6	0		

Caution: Do not include yourself, your spouse, or anyone who is not a U.S. citizen, U.S. national, or U.S. resident alien. Also, do not include anyone you included on line 4.

7	Multiply line 6 by $500			7	0
8	Add lines 5 and 7			8	6,000
9	Enter the amount shown below for your filing status. Married filing jointly-$400,000; All other filing statuses-$200,000	9	400,000		
10	Subtract line 9 from line 3. If zero or less, enter -0-. If more than zero and not a multiple of $1,000, enter the next multiple of $1,000. For example, if the result is $425, enter $1,000; if the result is $1,025, enter $2,000, etc.	10	0		
11	Multiply line 10 by 5% (0.05)			11	0
12	Is the amount on line 8 more than the amount on line 11? [ ] No. STOP. You cannot take the child tax credit, credit for other dependents, or additional child tax credit. [X] Yes. Subtract line 11 from line 8. Enter the result.			12	6,000
13	Enter the amount from Credit Limit Worksheet A (Form 1040 line 18 $62,280 less Schedule 3 credits $539)			13	61,741
14	**Enter the smaller of line 12 or 13. This is your child tax credit and credit for other dependents. Enter this amount on Form 1040, 1040-SR, or 1040-NR, line 19**			14	6,000

If the amount on line 12 is more than the amount on line 14, you may be able to take the additional child tax credit on Form 1040, 1040-SR, or 1040-NR, line 28. Complete your Form 1040, 1040-SR, or 1040-NR through line 27 (also complete Schedule 3, line 11) before completing Part II-A.

Part II-A Additional Child Tax Credit for All Filers

Caution: If you file Form 2555, you cannot claim the additional child tax credit.

15	Check this box if you do not want to claim the additional child tax credit. If you check this box, skip Parts II-A and II-B. Enter -0- on line 27 [ ]		
16a	Subtract line 14 from line 12. If zero, stop here; you cannot take the additional child tax credit. Skip Parts II-A and II-B. Enter -0- on line 27	16a	0
b	Number of qualifying children under 17 with the required social security number: ____ x $1,700. Enter the result. If zero, stop here; you cannot claim the additional child tax credit	16b	

Line 16a is zero - the full $6,000 child tax credit is used against tax. Lines 17-27 (Parts II-A, II-B, and II-C on page 2) do not apply; Form 1040, line 28 is -0-.

PREPARER DRAFT FOR SENIOR REVIEW - NOT FOR FILING. Amounts rounded to whole dollars. Prepared from client-provided 2024 documents.

Form **8995**
Department of the Treasury
Internal Revenue Service

Qualified Business Income Deduction

Simplified Computation
Attach to your tax return.
Go to www.irs.gov/Form8995 for instructions and the latest information.

OMB No. 1545-0074
2024
Attachment
Sequence No. 55

Name(s) shown on return: **ROBERT SMITH JR. & LISA M. SMITH**

Your taxpayer identification number: **333-44-5555**

Note: You can claim the qualified business income deduction only if you have qualified business income from a qualified trade or business, real estate investment trust dividends, publicly traded partnership income, or a domestic production activities deduction passed through from an agricultural or horticultural cooperative. See instructions. Use this form if your taxable income, before your qualified business income deduction, is at or below $191,950 ($383,900 if married filing jointly), and you aren't a patron of an agricultural or horticultural cooperative.

1 (a) Trade, business, or aggregation name	(b) Taxpayer identification number	(c) Qualified business income or (loss)
i		
ii		
iii		
iv		
v		

2	Total qualified business income or (loss). Combine lines 1i through 1v, column (c)	2			
3	Qualified business net (loss) carryforward from the prior year	3			
4	Total qualified business income. Combine lines 2 and 3. If zero or less, enter -0-	4	0		
5	Qualified business income component. Multiply line 4 by 20% (0.20)			5	0
6	Qualified REIT dividends and publicly traded partnership (PTP) income or (loss) (see instructions) [1099-DIV box 5 - $214.79]	6	215		
7	Qualified REIT dividends and qualified PTP (loss) carryforward from the prior year	7			
8	Total qualified REIT dividends and PTP income. Combine lines 6 and 7. If zero or less, enter -0-	8	215		
9	REIT and PTP component. Multiply line 8 by 20% (0.20)			9	43
10	Qualified business income deduction before the income limitation. Add lines 5 and 9			10	43
11	Taxable income before qualified business income deduction (see instructions)	11	329,254		
12	Enter your net capital gain, if any, increased by any qualified dividends (see instructions)	12	31,281		
13	Subtract line 12 from line 11. If zero or less, enter -0-	13	297,973		
14	Income limitation. Multiply line 13 by 20% (0.20)			14	59,595
15	**Qualified business income deduction. Enter the smaller of line 10 or line 14. Also enter this amount on the applicable line of your return (see instructions)**			15	43
16	Total qualified business (loss) carryforward. Combine lines 2 and 3. If greater than zero, enter -0-			16	0
17	Total qualified REIT dividends and PTP (loss) carryforward. Combine lines 6 and 7. If greater than zero, enter -0-			17	0

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Form **8867**
(Rev. November 2024)
Department of the Treasury
Internal Revenue Service

Paid Preparer's Due Diligence Checklist

EIC, AOTC, CTC (including ACTC and ODC), and HOH Filing Status
To be completed by preparer and filed with Form 1040, 1040-SR, 1040-NR, or 1040-SS.
Go to www.irs.gov/Form8867 for instructions and the latest information.

OMB No. 1545-0074
2024
Attachment
Sequence No. 70

Taxpayer name(s) shown on return	Taxpayer identification number
ROBERT SMITH JR. & LISA M. SMITH	333-44-5555
Preparer's name	**Preparer tax identification number**
[PREPARER NAME]	P_____

Part I Due Diligence Requirements

Please check the appropriate box for the credit(s) and/or HOH filing status claimed on the return and complete the related Parts I-V (check all that apply).

☐ EIC ☒ **CTC/ACTC/ODC** ☐ AOTC ☐ HOH

		Yes	No	N/A
1	Did you complete the return based on information for the applicable tax year provided by the taxpayer or reasonably obtained by you?	☒	☐	☐
2	If credits are claimed on the return, did you complete the applicable EIC and/or CTC/ACTC/ODC worksheets found in the Form 1040, 1040-SR, 1040-NR, 1040-SS, or Schedule 8812 (Form 1040) instructions, and/or the AOTC worksheet found in the Form 8863 instructions, or your own worksheet(s) that provides the same information, and all related forms and schedules for each credit claimed?	☒	☐	☐
3	Did you satisfy the knowledge requirement? (Interview the taxpayer, ask questions, and contemporaneously document the taxpayer's responses; review information to determine eligibility and figure the amount(s) of any credit(s).)	☒	☐	☐
4	Did any information provided by the taxpayer or a third party for use in preparing the return, or information reasonably known to you, appear to be incorrect, incomplete, or inconsistent? (If "Yes," answer questions 4a and 4b. If "No," go to question 5.)	☐	☒	☐
4a	Did you make reasonable inquiries to determine the correct, complete, and consistent information?	☐	☐	☐
4b	Did you contemporaneously document your inquiries?	☐	☐	☐
5	Did you satisfy the record retention requirement? (Keep documentation, a copy of this Form 8867, applicable worksheet(s), a record of how/when/from whom information was obtained, and copies of documents relied upon.)	☒	☐	☐

List those documents provided by the taxpayer, if any, that you relied on: 2024 Client Intake Questionnaire (dependents: names, SSNs, DOBs, relationship, residency 12 months, support); Forms W-2 (3); Children First Child Care Center of Texas 2024 payment statement.

6	Did you ask the taxpayer whether he/she could provide documentation to substantiate eligibility for the credit(s) and/or HOH filing status and the amount(s) of any credit(s) claimed on the return if his/her return is selected for audit?	☒	☐	☐
7	Did you ask the taxpayer if any of these credits were disallowed or reduced in a previous year? (If credits were disallowed or reduced, go to question 7a; if not, go to question 8.)	☒	☐	☐
7a	Did you complete the required recertification Form 8862?	☐	☐	☒
8	If the taxpayer is reporting self-employment income, did you ask questions to prepare a complete and correct Schedule C (Form 1040)?	☐	☐	☒

PREPARER DRAFT FOR SENIOR REVIEW - NOT FOR FILING. Amounts rounded to whole dollars. Prepared from client-provided 2024 documents.

Part II Due Diligence Questions for Returns Claiming EIC (If the return does not claim EIC, go to Part III.)

		Yes	No	N/A
9a	Have you determined that the taxpayer is eligible to claim the EIC for the number of qualifying children claimed, or is eligible to claim the EIC without a qualifying child?	☐	☐	☐
9b	Did you ask the taxpayer if the child lived with the taxpayer for over half of the year, even if the taxpayer has supported the child the entire year?	☐	☐	☐
9c	Did you explain to the taxpayer the rules about claiming the EIC when a child is the qualifying child of more than one person (tiebreaker rules)?	☐	☐	☐

Part III Due Diligence Questions for Returns Claiming CTC/ACTC/ODC (If the return does not claim CTC, ACTC, or ODC, go to Part IV.)

		Yes	No	N/A
10	Have you determined that each qualifying person for the CTC/ACTC/ODC is the taxpayer's dependent who is a citizen, national, or resident of the United States?	☒	☐	☐
11	Did you explain to the taxpayer that he/she may not claim the CTC/ACTC if the child has not lived with the taxpayer for over half of the year, even if the taxpayer has supported the child, unless the child's custodial parent has released a claim to exemption for the child?	☒	☐	☐
12	Did you explain to the taxpayer the rules about claiming the CTC/ACTC/ODC for a child of divorced or separated parents (or parents who live apart), including any requirement to attach a Form 8332 or similar statement to the return?	☐	☐	☒

Part IV Due Diligence Questions for Returns Claiming AOTC (If the return does not claim AOTC, go to Part V.)

		Yes	No	N/A
13	Did the taxpayer provide substantiation for the credit, such as a Form 1098-T and/or receipts for the qualified tuition and related expenses for the claimed AOTC?	☐	☐	☐

Part V Due Diligence Questions for Claiming HOH (If the return does not claim HOH filing status, go to Part VI.)

		Yes	No	N/A
14	Have you determined that the taxpayer was unmarried or considered unmarried on the last day of the tax year and provided more than half of the cost of keeping up a home for the year for a qualifying person?	☐	☐	☐

Part VI Eligibility Certification

You will have complied with all due diligence requirements for claiming the applicable credit(s) and/or HOH filing status on the return of the taxpayer identified above if you: (A) interview the taxpayer, ask adequate questions, contemporaneously document the taxpayer's responses on the return or in your notes, and review adequate information to determine eligibility and figure the credit(s); (B) complete this Form 8867 truthfully and accurately and complete the actions described in this checklist; (C) submit Form 8867 in the manner required; and (D) keep all five required records for 3 years (see Form 8867 instructions, Document Retention).

If you have not complied with all due diligence requirements, you may have to pay a penalty for each failure to comply related to a claim of an applicable credit or HOH filing status.

		Yes	No	N/A
15	Do you certify that all of the answers on this Form 8867 are, to the best of your knowledge, true, correct, and complete? [To be confirmed by the signing preparer after review]	☒	☐	☐

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Form **8959**
Department of the Treasury
Internal Revenue Service

Additional Medicare Tax

If any line does not apply to you, leave it blank. See separate instructions.
Attach to Form 1040, 1040-SR, 1040-NR, 1040-PR, or 1040-SS.
Go to www.irs.gov/Form8959 for instructions and the latest information.

OMB No. 1545-0074
2024
Attachment Sequence No. 71

Name(s) shown on return: **ROBERT SMITH JR. & LISA M. SMITH**

Your social security number: **333-44-5555**

Part I Additional Medicare Tax on Medicare Wages

1	Medicare wages and tips from Form W-2, box 5. If you have more than one Form W-2, enter the total of the amounts from box 5 ($132,465.05 + $102,468.69 + $118,475.30)	1	353,409	
2	Unreported tips from Form 4137, line 6	2		
3	Wages from Form 8919, line 6	3		
4	Add lines 1 through 3	4	353,409	
5	Enter the following amount for your filing status: Married filing jointly $250,000; Married filing separately $125,000; Single, Head of household, or Qualifying surviving spouse $200,000	5	250,000	
6	Subtract line 5 from line 4. If zero or less, enter -0-	6	103,409	
7	Additional Medicare Tax on Medicare wages. Multiply line 6 by 0.9% (0.009). Enter here and go to Part II			7 931

Part II Additional Medicare Tax on Self-Employment Income

8	Self-employment income from Schedule SE (Form 1040), Part I, line 6. If you had a loss, enter -0-	8		
9	Enter the following amount for your filing status: Married filing jointly $250,000; Married filing separately $125,000; all others $200,000	9		
10	Enter the amount from line 4	10		
11	Subtract line 10 from line 9. If zero or less, enter -0-	11		
12	Subtract line 11 from line 8. If zero or less, enter -0-	12		
13	Additional Medicare Tax on self-employment income. Multiply line 12 by 0.9% (0.009). Enter here and go to Part III			13

Part III Additional Medicare Tax on Railroad Retirement Tax Act (RRTA) Compensation

14	Railroad retirement (RRTA) compensation and tips from Form(s) W-2, box 14 (see instructions)	14		
15	Enter the following amount for your filing status: Married filing jointly $250,000; Married filing separately $125,000; all others $200,000	15		
16	Subtract line 15 from line 14. If zero or less, enter -0-	16		
17	Additional Medicare Tax on railroad retirement (RRTA) compensation. Multiply line 16 by 0.9% (0.009). Enter here and go to Part IV			17

Part IV Total Additional Medicare Tax

18	**Add lines 7, 13, and 17. Also include this amount on Schedule 2 (Form 1040), line 11 (Form 1040-PR or 1040-SS filers, see instructions), and go to Part V**	18	931

Part V Withholding Reconciliation

19	Medicare tax withheld from Form W-2, box 6. If you have more than one Form W-2, enter the total of the amounts from box 6 ($1,920.74 + $1,485.80 + $1,717.89)	19	5,124	
20	Enter the amount from line 1	20	353,409	
21	Multiply line 20 by 1.45% (0.0145). This is your regular Medicare tax withholding on Medicare wages	21	5,124	
22	Subtract line 21 from line 19. If zero or less, enter -0-. This is your Additional Medicare Tax withholding on Medicare wages			22 0
23	Additional Medicare Tax withholding on railroad retirement (RRTA) compensation from Form W-2, box 14 (see instructions)			23
24	**Total Additional Medicare Tax withholding. Add lines 22 and 23. Also include this amount with federal income tax withholding on Form 1040, 1040-SR, or 1040-NR, line 25c (Form 1040-PR or 1040-SS filers, see instructions)**			24 0

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Form **8960**
Department of the Treasury
Internal Revenue Service

Net Investment Income Tax-

Individuals, Estates, and Trusts
Attach to your tax return.
Go to www.irs.gov/Form8960 for instructions and the latest information.

OMB No. 1545-0074
2024
Attachment Sequence No. 72

Name(s) shown on return: **ROBERT SMITH JR. & LISA M. SMITH**
Your social security number or EIN: **333-44-5555**

☐ Section 6013(g) election (see instructions) ☐ Section 6013(h) election (see instructions) ☐ Regulations section 1.1411-10(g) election (see instructions)

Part I Investment Income

1	Taxable interest (see instructions)		1	1,116
2	Ordinary dividends (see instructions)		2	6,744
3	Annuities (see instructions)		3	
4a	Rental real estate, royalties, partnerships, S corporations, trusts, etc. (see instructions)	4a		
b	Adjustment for net income or loss derived in the ordinary course of a non-section 1411 trade or business (see instructions)	4b		
c	Combine lines 4a and 4b		4c	
5a	Net gain or loss from disposition of property (see instructions)	5a	26,383	
b	Net gain or loss from disposition of property that is not subject to net investment income tax (see instructions)	5b		
c	Adjustment from disposition of partnership interest or S corporation stock (see instructions)	5c		
d	Combine lines 5a through 5c		5d	26,383
6	Adjustments to investment income for certain CFCs and PFICs (see instructions)		6	
7	Other modifications to investment income (see instructions)		7	
8	**Total investment income. Combine lines 1, 2, 3, 4c, 5d, 6, and 7**		8	34,243

Part II Investment Expenses Allocable to Investment Income and Modifications

9a	Investment interest expenses (see instructions)	9a		
b	State, local, and foreign income tax (see instructions) [no state income tax; foreign tax claimed as credit]	9b		
c	Miscellaneous investment expenses (see instructions)	9c		
d	Add lines 9a, 9b, and 9c		9d	
10	Additional modifications (see instructions)		10	
11	Total deductions and modifications. Add lines 9d and 10		11	0

Part III Tax Computation

12	Net investment income. Subtract Part II, line 11, from Part I, line 8. Individuals, complete lines 13-17. Estates and trusts, complete lines 18a-21. If zero or less, enter -0-		12	34,243
Individuals:				
13	Modified adjusted gross income (see instructions)	13	360,946	
14	Threshold based on filing status (see instructions) [Married filing jointly]	14	250,000	
15	Subtract line 14 from line 13. If zero or less, enter -0-	15	110,946	
16	Enter the smaller of line 12 or line 15	16	34,243	
17	**Net investment income tax for individuals. Multiply line 16 by 3.8% (0.038). Enter here and include on your tax return (see instructions)**		17	1,301
Estates and Trusts:				
18a	Net investment income (line 12 above)	18a		
b	Deductions for distributions of net investment income and deductions under section 642(c) (see instructions)	18b		
c	Undistributed net investment income. Subtract line 18b from line 18a (see instructions)	18c		
19a	Adjusted gross income (see instructions)	19a		
b	Highest tax bracket for estates and trusts for the year (see instructions)	19b		
c	Subtract line 19b from line 19a. If zero or less, enter -0-	19c		
20	Enter the smaller of line 18c or line 19c		20	
21	Net investment income tax for estates and trusts. Multiply line 20 by 3.8% (0.038). Enter here and include on your tax return (see instructions)		21	

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